2009 Localization Policy: Big4 Client Returns

	(1)	(2)	(3)
Event window	[0,0]	[-1,+1]	[0,+2]
Trading dates (October 2009)	12	9, 12, 13	12, 13, 14
Panel A. Big4 client mean returns (percent)			
Raw return	0.038	6.350	2.367
Market-adjusted return	0.182	-0.021	0.080
Panel B. Big4 minus non-Big4 (percentage points)			
Big4 client	-0.222	-1.020***	-0.765**
	(0.238)	(0.342)	(0.328)
p-value	0.3506	0.0029	0.0199
Industry fixed effects	Yes	Yes	Yes
Additional controls	None	None	None
Observations	1,514	1,487	1,499
Big4 clients	108	106	108
Non-Big4 clients	1,406	1,381	1,391

Notes: Event date: October 12, 2009. A-share clients are classified using fiscal-year 2008 auditors. Returns are equally weighted sums of daily returns; market-adjusted returns subtract the corresponding daily market return. Each column uses firms with complete window returns. Panel B reports the Big4 coefficient from a regression of market-adjusted returns on Big4 and industry fixed effects; the baseline is non-Big4 clients. HC1 robust standard errors are in parentheses; no clustering or winsorization. The three-day windows overlap. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.